HSBC Global Investment Research

10 June 2026

Daily dose of HK & mainland China Real Estate

Research Focus and Views on the News

Equities
Real Estate

HK & Mainland China

Highlights of the day

Hong Kong

- 59 transactions recorded at 'Top 35' estates in secondary market last week
- 41 units sold at The Headland Residences
- Midland: Residential rents up 0.69% in May

Mainland China

- Xiamen lists six plots for RMB7bn
- Shentong Metro Group lists a project to be sold on a pre-application basis for RMB3.7bn
- Fuzhou lists seven land plots for RMB4.1bn
- China Jinmao's May contracted sales up 19% m-o-m but down 16% y-o-y, to RMB10bn
- Longfor's May rental income up 4% y-o-y to RMB1.2bn

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Summary of news

Hong Kong

59 transactions recorded at 'Top 35' estates in secondary market last week
HKEJ/HKET: According to Midland, there were 59 purchases of homes among the "Top 35 Most Popular Housing Estates" in the secondary market over the past week (1-7 June), down 19% w-o-w. Midland comments that housing prices have remained on an upward trajectory, with homeowners generally maintaining a positive outlook for the market. In response, sellers have adopted a more assertive pricing stance, leaving less room for negotiation and contributing to a slower pace of secondary market transactions.

41 units sold at The Headland Residences
HKEJ/HKET: Swire Properties announced that the company sold 41 units at The Headland Residences, on the first day it launched 78 units for sale (9 June). It generated proceeds of around HKD0.37 billion. The batch launched comprises all two-bedroom units, which are sized at 512-538 sqft, and priced at HKD8.2m-10.0m per unit or HKD15,715-18,615 psf (after discount).

Midland: Residential rents up 0.69% in May
Midland/HKET: According to Midland, the average rent of private homes in May was HKD39.55psf, up 0.69% m-o-m, the strongest monthly rise in 21 months. Midland comments that rents have now risen for five consecutive months and the market has continued to record new monthly peaks. With the summer leasing season approaching, demand from students from mainland China and overseas is expected to strengthen further, while ongoing talent programmes continue to support underlying housing demand, providing continued upward momentum for rents.

Mainland China

Xiamen lists six plots for RMB7bn
Guandian: Xiamen plans to auction six residential land plots with a total reserve price of RMB7bn. The plot in Siming District on Xiamen Island has the highest reserve price at RMB2.3bn (RMB48,000 per sqm). Another plot on Xiamen Island, located in Huli District, has the second-highest reserve price of RMB1.1bn (RMB38,500 per sqm). The auctions are scheduled for 24 June 2026.

Shentong Metro Group lists a project to be sold on a pre-application basis for RMB3.7bn
Guandian: Shentong Metro Group has listed a TOD project in Shanghai for sale on a pre-application basis, with a reserve price of RMB3.7bn. Located in Baoshan District, the project was acquired by the group in March 2026. It comprises one commercial plot and one residential plot. The residential plot, with a reserve price of RMB26,500 per sqm and a GFA of 110,000 sqm, is planned for 955 units. The ASP of the project is expected to reach RMB70,000 per sqm.

Fuzhou lists seven land plots for RMB4.1bn
Guandian: Fuzhou plans to auction seven land plots with a total reserve price of RMB4.1bn on 30 June. The plots cover a total area of 175 mu. Specifically, one residential plot in Jin'an District carries the highest reserve price of RMB919m (RMB19,856 per sqm).

China Jinmao's May contracted sales up 19% m-o-m but down 16% y-o-y, to RMB10bn
Company announcement: China Jinmao achieved gross contracted sales of RMB10bn in May, up 19% m-o-m but down 16% y-o-y. The contracted sales GFA amounted to 368,427 sqm, up 5% m-o-m but down 36% y-o-y. The ASP achieved during the month increased by 14% m-o-m and 31% y-o-y, to RMB28,481 per sqm.

Longfor's May rental income up 4% y-o-y to RMB1.2bn

Company announcement: Longfor achieved gross contracted sales of RMB3.3bn in May, up 15% m-o-m but down 49% y-o-y. The contracted sales GFA amounted to 298,000 sqm, down 4% m-o-m and 39% y-o-y. The ASP achieved during the month increased by 20% m-o-m but decreased by 15% y-o-y, to RMB11,141 per sqm. In addition, the group's rental income in May increased by 4% y-o-y to RMB1.2bn.

Valuation perspective

Valuation summary: Hong Kong & mainland China Developers, REITs and Landlords (as of previous market close)

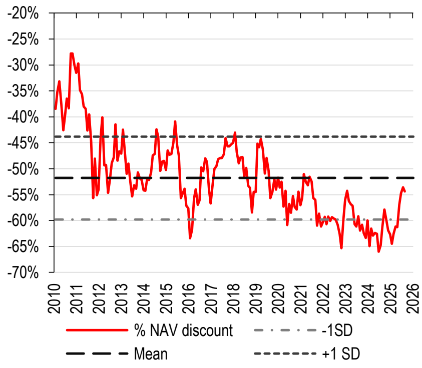
Company	Bloomberg code	HSBC rating	Share price HKD	Target price HKD	Market cap USDbn	3-month ADTV USDm	Est. NAV HKD/sh	Current (disc)/prem %	Core PE (x) FY25a	Core PE (x) FY26e	Core PE (x) FY27e	Yield (%) FY26e	PB (x) FY25a	Net debt/ equity (%) FY26e
Hong Kong property														
CK Asset	1113 HK	Hold	44.86	46.00	20.0	37.2	95.8	(53)	13.1	11.9	11.3	4.1	0.4	1
CK Hutchison	1 HK	Buy	66.85	74.60	32.7	70.5	158.8	(58)	11.5	9.5	8.7	4.1	0.5	17
Hang Lung Properties	101 HK	Buy	7.66	10.90	4.9	10.4	21.8	(65)	11.8	11.3	10.3	6.8	0.3	35
Henderson Land	12 HK	Buy	27.24	35.80	16.8	41.3	51.2	(47)	21.7	14.7	12.8	4.6	0.4	43
HKLand (USD)	HKL SP	Buy	7.24	9.82	15.5	23.8	11.8	(39)	34.5	22.9	21.5	3.7	0.5	7
Hysan	14 HK	Buy	17.57	23.00	2.3	6.6	53.6	(67)	7.2	7.1	8.4	6.1	0.3	45
Jardine Matheson	JM SP	Buy	61.13	93.70	18.0	26.5	105.3	(42)	10.7	10.9	10.2	4.0	0.6	12
Kerry Properties	683 HK	Buy	19.90	24.00	3.7	5.8	46.0	(57)	14.3	11.9	5.9	6.8	0.3	24
MTR Corporation	66 HK	Hold	31.28	29.80	24.8	26.6	35.5	(12)	11.6	13.2	20.1	4.2	1.0	30
New World Development	17 HK	Reduce	7.37	6.20	2.4	7.1	34.0	(78)	n.m.	n.m.	n.m.	-	0.1	57
Sino Land	83 HK	Buy	11.47	14.40	14.0	13.9	22.9	(50)	19.9	22.4	21.6	5.1	0.6	net cash
Sun Hung Kai Properties	16 HK	Buy	117.20	150.60	43.3	97.5	200.8	(42)	15.5	14.0	12.3	3.4	0.5	14
Swire Pacific	19 HK	Buy	82.05	98.60	12.9	13.3	154.1	(47)	11.6	9.1	8.9	4.9	0.4	12
Swire Properties Ltd	1972 HK	Buy	21.66	30.20	15.9	10.7	50.4	(57)	14.5	14.7	15.0	5.5	0.5	17
Wharf Holdings	4 HK	Hold	20.38	25.50	7.9	13.6	47.3	(57)	14.9	13.5	13.8	2.0	0.4	8
Wharf REIC	1997 HK	Buy	22.62	32.20	8.8	16.0	53.6	(58)	10.6	10.5	10.2	6.1	0.4	16
REITs & trusts*														
Champion REIT*	2778 HK	Reduce	2.36	1.75	1.8	0.5	1.8	35	18.7	19.4	18.7	5.1	0.4	34
Fortune REIT*	778 HK	Hold	4.71	5.13	1.2	1.9	5.2	(9)	13.4	13.8	13.3	7.2	0.4	39
Link REIT*	823 HK	Buy	37.94	46.50	12.5	54.1	46.5	(18)	13.9	15.0	15.3	6.7	0.6	30
Property management services														
China Overseas Property	2669 HK	Hold	3.75	4.30	1.6	4.7	n.a.	n.a.	6.7	6.3	5.9	5.1	1.6	net cash
CR Mixc	1209 HK	Hold	41.58	44.00	12.1	19.6	n.a.	n.a.	20.8	18.8	17.3	5.3	4.6	net cash
Country Garden Services	6098 HK	Hold	5.48	6.10	2.3	5.7	n.a.	n.a.	6.3	5.8	5.1	10.4	0.4	net cash
Greentown Service	2869 HK	Buy	4.51	5.10	1.8	1.9	n.a.	n.a.	14.0	12.5	11.5	5.7	1.5	net cash
Sunac Services	1516 HK	Hold	0.83	0.90	0.3	1.5	n.a.	n.a.	6.2	3.8	3.7	1.5	0.4	net cash
Property brokerage services														
KE Holdings (Beike) (USD)	BEKE US	Buy	15.97	23.30	19.7	77.0	n.a.	n.a.	24.8	16.8	13.8	2.3	2.0	net cash
Mainland China property														
C&D International	1908 HK	Buy	15.06	19.90	4.3	14.3	42.4	(64)	7.4	6.6	6.1	7.6	0.7	25
China Overseas Land	688 HK	Buy	15.53	16.50	21.7	58.6	25.7	(40)	11.3	12.4	11.6	3.1	0.4	33
China Resources Land	1109 HK	Buy	35.50	43.80	32.3	96.5	55.5	(36)	9.7	9.2	8.7	4.0	0.7	39
China Vanke	2202 HK	Reduce	2.55	2.50	5.2	9.0	5.9	(57)	n.m.	n.m.	n.m.	-	0.3	108
CIFI Holdings	884 HK	Hold	0.06	0.08	0.1	0.8	0.5	(88)	n.m.	n.m.	n.m.	-	0.0	81
Country Garden	2007 HK	Hold	0.21	0.30	1.3	12.7	1.9	(89)	1.6	n.m.	n.m.	-	n.m.	n.m.
China Jinmao	817 HK	Hold	1.57	1.50	2.7	10.2	3.5	(55)	26.2	27.1	25.5	1.3	0.5	76
Greentown China	3900 HK	Hold	8.26	9.50	2.7	13.3	17.9	(54)	n.m.	27.0	10.1	1.7	0.5	65
Longfor Group	960 HK	Hold	7.99	8.60	7.2	20.1	25.4	(69)	n.m.	37.5	13.8	0.8	0.3	48
Seazen Group	1030 HK	Buy	1.63	3.00	1.5	6.0	7.4	(78)	26.1	7.4	5.3	-	0.2	59
Shenzhen Investment	604 HK	Hold	0.76	0.70	0.9	1.0	2.2	(65)	13.5	22.7	14.8	-	0.2	91
Yanlord (SGD)	YLLG SP	Hold	0.65	0.53	1.0	2.2	1.6	(60)	n.m.	17.3	16.1	-	0.2	34
Yuexiu Property	123 HK	Buy	4.32	5.10	2.2	6.0	14.7	(71)	57.9	14.5	9.2	2.8	0.3	69

Hotels, restaurants & Leisure	Bloomberg code	HSBC Rating	Share price HKD	Target price USD	Market cap USDbn	3-month ADTV USDm	EV USDbn	Rev CAGR FY24-27e	EV / Sales (x) FY25a	EV / Sales (x) FY26e	EV / Sales (x) FY27e	EV / EBITDA (x) FY25a	EV / EBITDA (x) FY26e	Net debt/ equity (%) FY25a
Airbnb (USD)	ABNB US	Buy	131.35	162.00	81.0	482.3	130.8	12%	10.7	9.4	8.4	30.4	26.6	net cash

*'Core PE' refers to PE/distribution (x), 'Yield' refers to DPU yield, and 'Net debt/equity' refers to gross debt/total assets
**Since listing on 9 February 2018
Source: Bloomberg, HSBC estimates

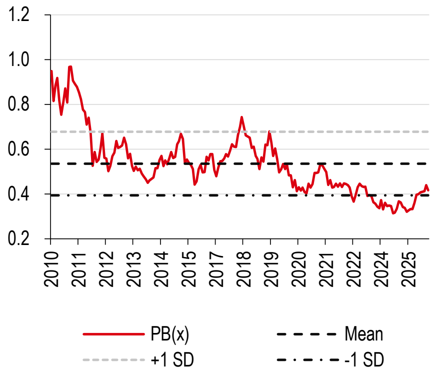
Hong Kong

NAV discount chart – developers



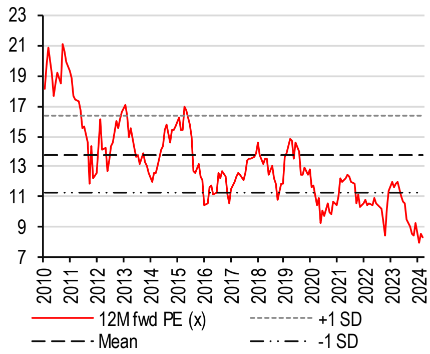
Source: LSEG Datastream, HSBC estimates

PB chart (x) – developers



Source: LSEG Datastream, HSBC estimates

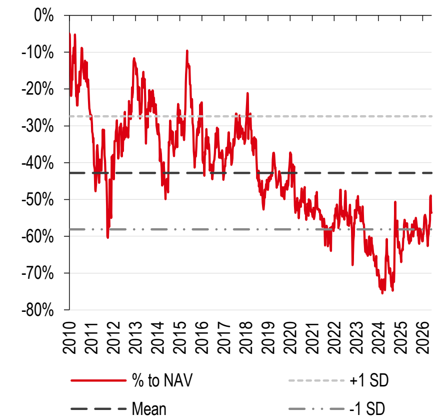
PE chart (x) – developers



Source: LSEG Datastream, HSBC estimates

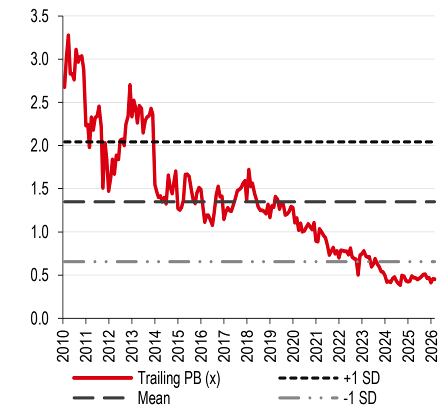
Mainland China

NAV discount chart – SOE developers



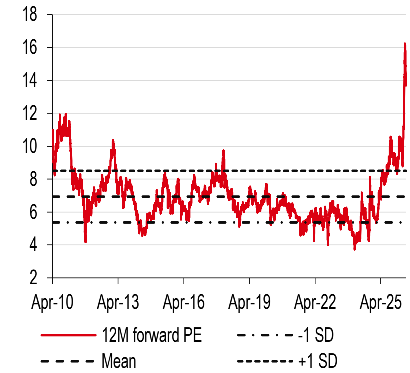
Note: The average NAV discount of COLI, CRL, Vanke, Greentown, Yuexiu, and C&D International
Source: Bloomberg, HSBC estimates

PB chart (x) – SOE developers



Note: The average trailing PB of COLI, CRL, Vanke, Greentown, Yuexiu, and C&D International based on monthly data.
Source: Bloomberg, HSBC estimates

Forward PE (x) – SOE developers



Note: The average forward PE of COLI, CRL, Vanke, Greentown, Yuexiu, C&D International and Longfor based on Bloomberg consensus.
Source: Bloomberg, HSBC

Share price performance

HK/mainland China property – share price performance

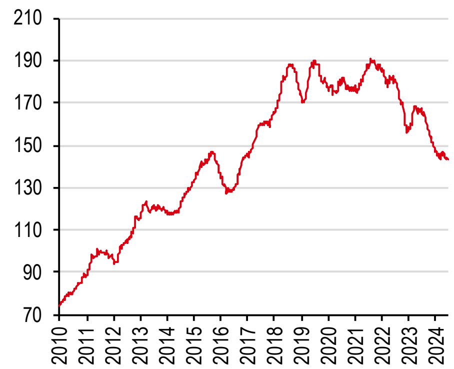
	52-week		Absolute performance (%)						Relative performance (%)					
Company	**High**	**Low**	**1W**	**1M**	**3M**	**6M**	**12M**	**YTD**	**1W**	**1M**	**3M**	**6M**	**12M**	**YTD**
Hong Kong property														
CK Asset	52.4	32.8	(6)	(13)	(4)	13	36	14	(0)	(6)	(1)	16	34	18
CK Hutchison	74.4	45.8	(4)	(9)	14	23	45	26	1	(2)	17	26	43	30
Hang Lung Properties	10.3	6.3	(4)	(15)	(16)	(14)	20	(11)	1	(8)	(13)	(10)	18	(7)
Henderson Land	35.7	24.6	(11)	(20)	(15)	(6)	10	(3)	(5)	(13)	(11)	1	8	1
Hongkong Land (USD)	9.1	5.4	(4)	(12)	(9)	10	32	4	2	(5)	(6)	13	31	8
Hysan	23.3	13.5	(3)	(14)	(12)	(2)	29	(7)	2	(7)	(9)	2	27	(3)
Jardine Matheson	82.5	43.5	(5)	(14)	(16)	(11)	39	(11)	1	(7)	(13)	(7)	38	(6)
Kerry Properties	26.1	18.2	(4)	(20)	(11)	(1)	7	(2)	1	(14)	(8)	6	12	5
MTR Corporation	37.9	26.1	(1)	(9)	(10)	4	13	5	5	(2)	(7)	7	12	9
New World Development	12.5	4.7	(8)	(23)	(22)	4	55	1	(2)	(16)	(18)	8	54	6
Sino Land	13.3	8.1	(3)	(11)	1	8	41	12	3	(4)	4	12	39	16
Sun Hung Kai Properties	148.8	82.8	(8)	(17)	(14)	23	38	24	(3)	(10)	(11)	26	36	28
Swire Pacific	91.6	62.5	(2)	(10)	3	27	21	31	3	(3)	7	31	19	35
Swire Properties Ltd	27.2	18.0	(4)	(13)	(11)	3	18	3	1	(7)	(8)	10	23	10
Wharf REIC	29.4	19.9	(6)	(12)	(16)	(6)	12	(8)	(0)	(5)	(13)	(3)	10	(4)
Wharf Holdings	30.6	19.6	(14)	(33)	(15)	(10)	(9)	(6)	(8)	(26)	(11)	(7)	(11)	(2)
Simple average			**(6)**	**(16)**	**(10)**	**3**	**26**	**3**	**(0)**	**(9)**	**(7)**	**7**	**25**	**7**
REITs														
Champion REIT	2.8	1.9	(3)	(3)	(8)	7	19	(7)	3	4	(4)	10	17	(3)
Fortune REIT	5.4	4.5	(2)	(7)	(8)	(4)	5	(4)	3	0	(5)	(0)	3	0
Link REIT	45.1	34.1	(3)	(8)	1	10	(9)	9	2	(1)	5	13	(11)	13
Property management services														
China Overseas Property	5.9	3.6	(4)	(10)	(12)	(22)	(29)	(17)	1	(4)	(9)	(15)	(24)	(10)
CR Mixc	51.2	35.7	(3)	(17)	(9)	(4)	9	(3)	2	(11)	(6)	3	14	3
Country Garden Services	7.0	5.1	(7)	(7)	(4)	(4)	(6)	(1)	(2)	(0)	(1)	3	(1)	6
Greentown Service	5.4	3.8	(3)	(6)	7	3	9	(4)	2	0	10	10	15	3
Sunac Services	2.2	0.8	(11)	(27)	(40)	(42)	(51)	(41)	(6)	(21)	(37)	(35)	(46)	(34)
Property brokerage services														
KE Holdings (Beike)	21.0	14.4	(6)	(14)	(3)	(2)	(14)	3	(1)	(8)	0	5	(9)	9
Mainland China property														
C&D International	19.2	12.5	(5)	(11)	6	(5)	1	(4)	(0)	(4)	9	2	6	3
China Overseas Land	16.7	11.4	(4)	(2)	16	23	17	27	1	4	19	30	22	33
China Resources Land	39.9	26.0	(2)	(3)	15	26	33	31	3	3	18	33	38	37
China Vanke	6.0	2.5	(8)	(19)	(26)	(24)	(50)	(22)	(3)	(13)	(23)	(17)	(44)	(16)
CIFI Holdings	0.3	0.1	(11)	(16)	(25)	(67)	(76)	(64)	(6)	(10)	(22)	(61)	(70)	(57)
Country Garden	0.7	0.2	(7)	(21)	(32)	(56)	(45)	(49)	(2)	(15)	(29)	(49)	(40)	(42)
China Jinmao	2.0	1.1	(10)	(19)	8	34	48	30	(5)	(12)	11	41	53	36
Greentown	12.0	8.0	(7)	(25)	(16)	(2)	(12)	(2)	(2)	(18)	(13)	5	(7)	4
Longfor Group	12.2	7.4	(0)	(13)	(12)	(14)	(17)	(7)	5	(6)	(9)	(7)	(11)	(0)
Seazen Group	2.8	1.6	(8)	(31)	(27)	(21)	(22)	(20)	(3)	(24)	(24)	(14)	(17)	(14)
SZ Investment	1.3	0.7	(4)	(11)	(7)	(12)	1	(4)	1	(4)	(4)	(5)	7	3
Yanlord (SGD)	0.8	0.5	(6)	(13)	3	(5)	32	(8)	(0)	(6)	7	(2)	30	(4)
Yuexiu Property	5.4	3.6	(5)	(5)	2	4	(0)	9	(0)	2	5	11	5	16
Simple average			**(6)**	**(14)**	**(5)**	**(5)**	**(4)**	**(3)**	**(1)**	**(7)**	**(2)**	**1**	**1**	**3**
Hotel, restaurants & Leisure														
Airbnb	147.3	110.8	(2)	(5)	0	7	(3)	(1)	3	1	3	14	2	6

Source: Bloomberg, HSBC

Key sector metrics

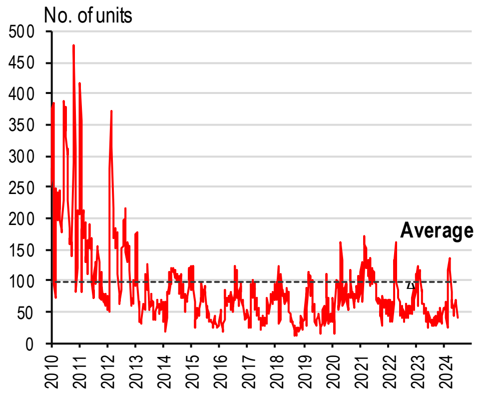
Hong Kong

Centa-City Leading Index (CCL)



Source: Centaline, HSBC

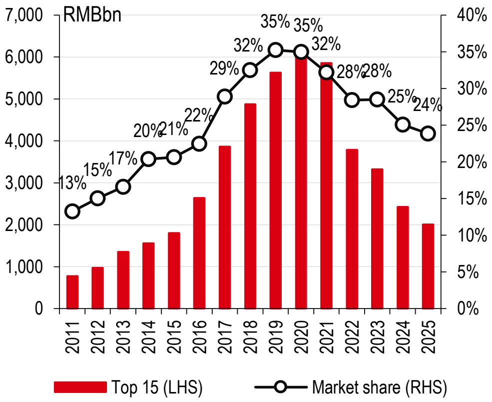
Weekly transaction of 35 major estates



Source: Midland, HSBC

Mainland China

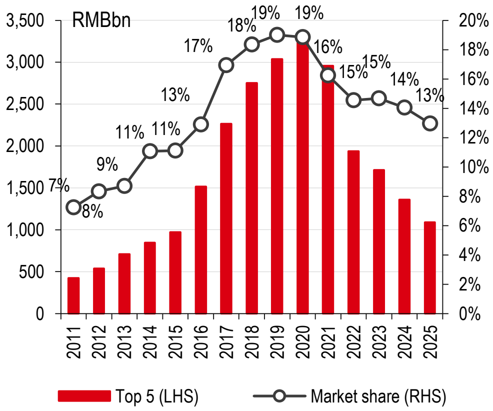
Market share of Top 15 developers*



Source: CRIC, NBS, HSBC

*Top 15 developers in terms of property sales value

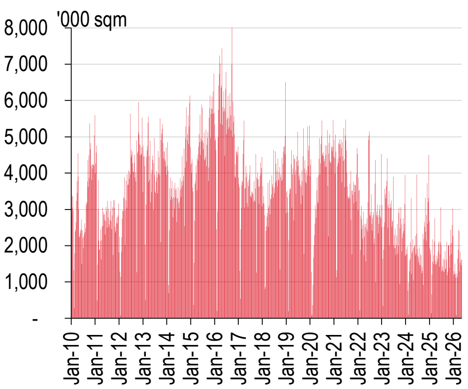
Market share of Top 5 developers*



Source: CRIC, NBS, HSBC

*Top five developers in terms of property sales value

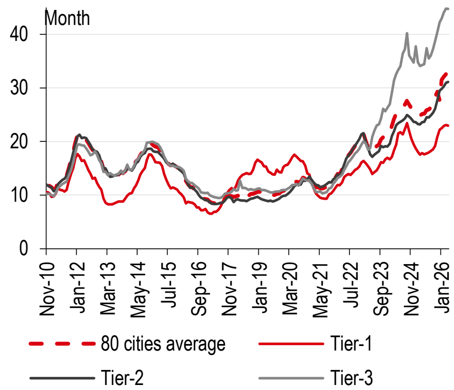
Weekly new home sales – 30 key cities



Source: Wind, HSBC

Note: Include 4 tier-1 cities, 13 tier-2 cities and 13 tier-3 cities.

Inventory turnover months – 80 cities



Source: CRIC, HSBC

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